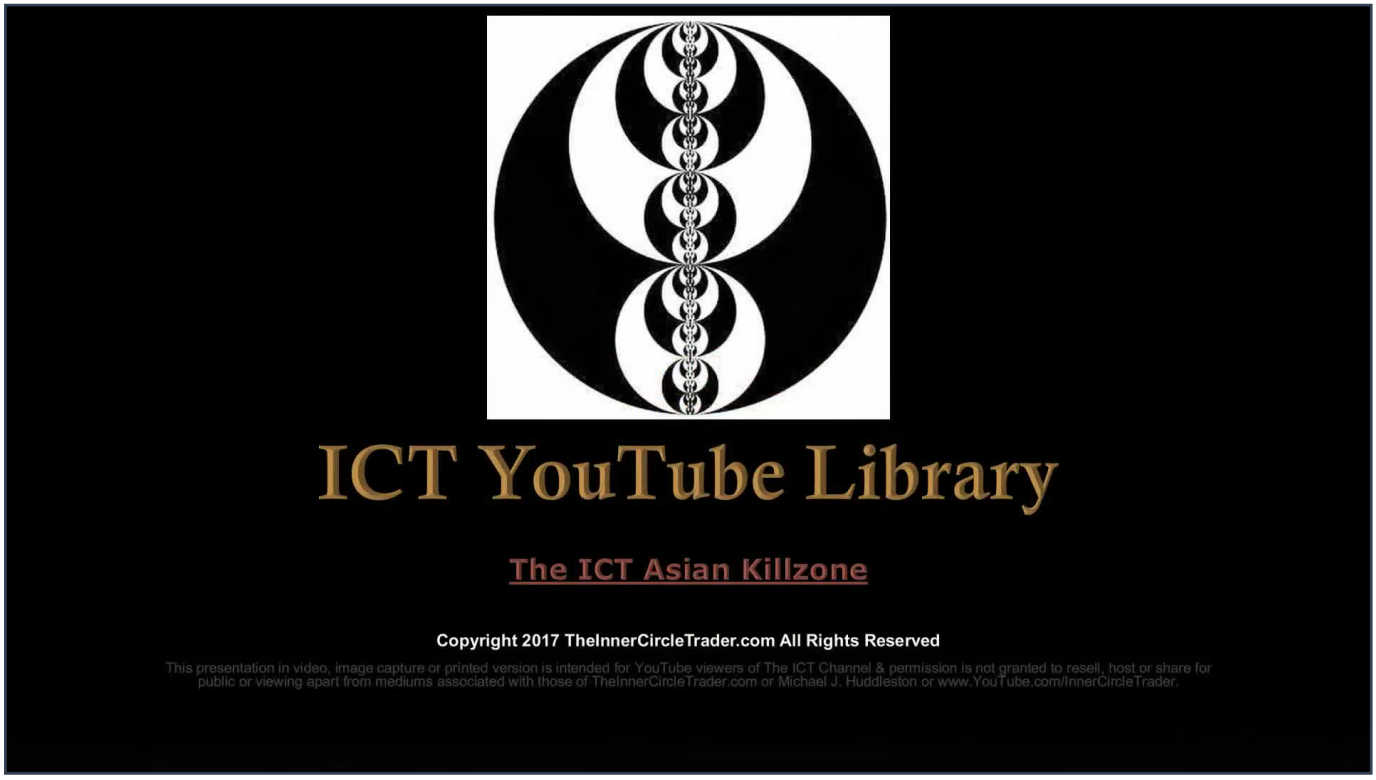
ICT MENTORSHIP CORE CONTENT

ICT FOREX - THE ICT ASIAN KILLZONE



This teaching specifically deals with the ICT Asian Killzone. This is the first of several specific times of the day where ICT likes to look for setups. Admittedly, this is the least active time of the day for an East Coast North American trader.

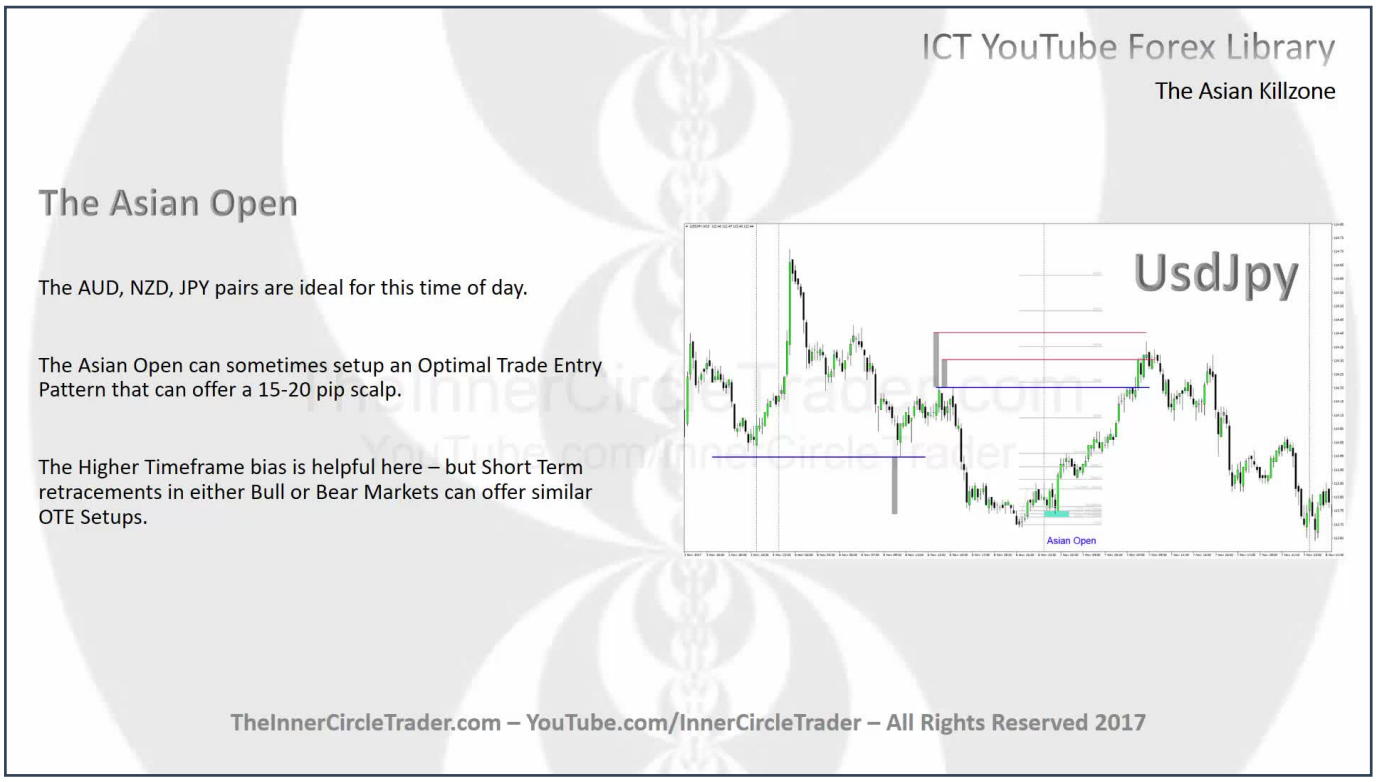
ICT Concepts to use in this module:

- The importance of time and price

- The Asian Open

- The Asian Session

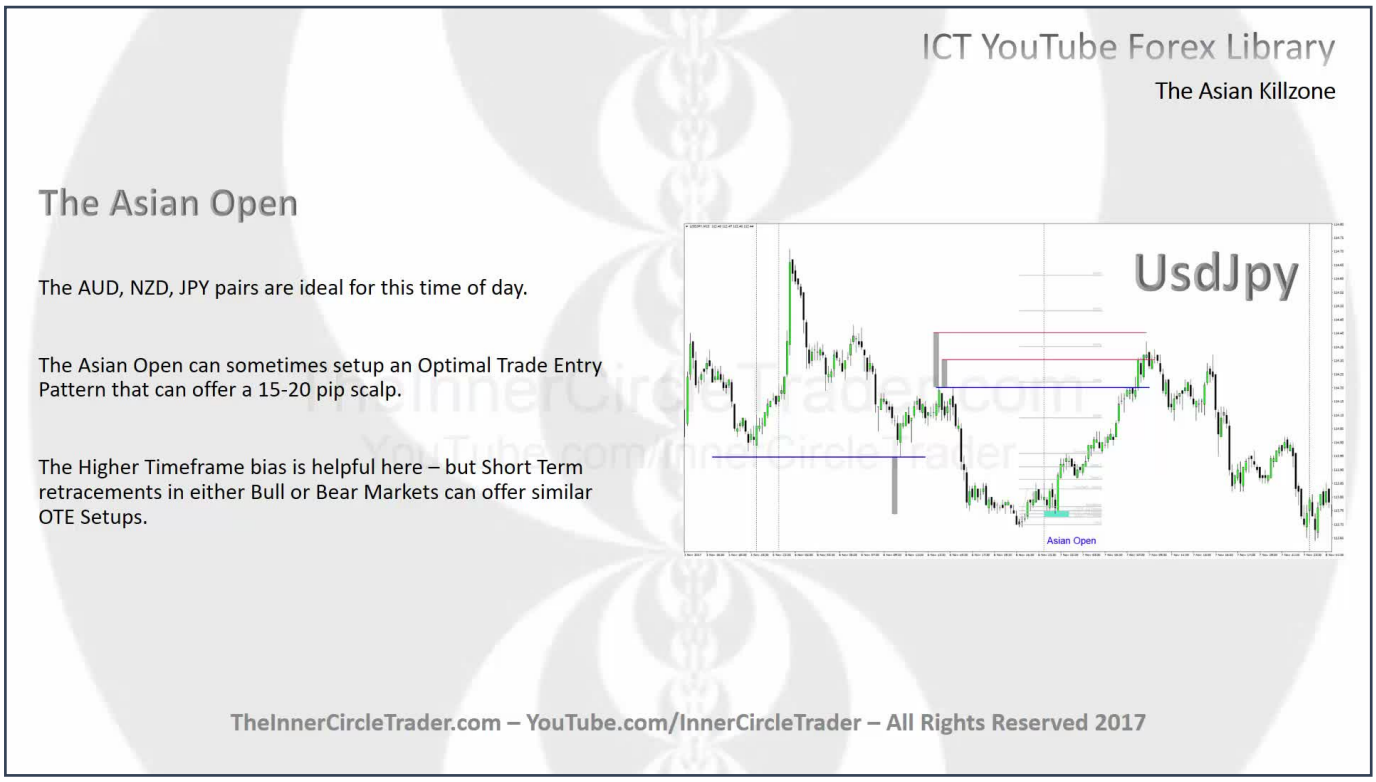
- Important characteristics that make up the Asian Session



The Asian Open is a time of day where the Australian dollar, New Zealand dollar, and Japanese yen pairs are ideal. Their markets are active and open at this time.

This small window of opportunity is suitable for North American traders who trade after a 9:00 to 5:00 job, fitting a part-time trading gig or even a trading model built entirely around the Asian session, avoiding London or New York sessions.

The Asian Open can sometimes set up an optimal trade entry pattern that can offer 15 to 20 pips for a scalp. A higher time frame bias is helpful, but short-term retracements in either a bull or bear market can offer similar optimal trade entry setups.



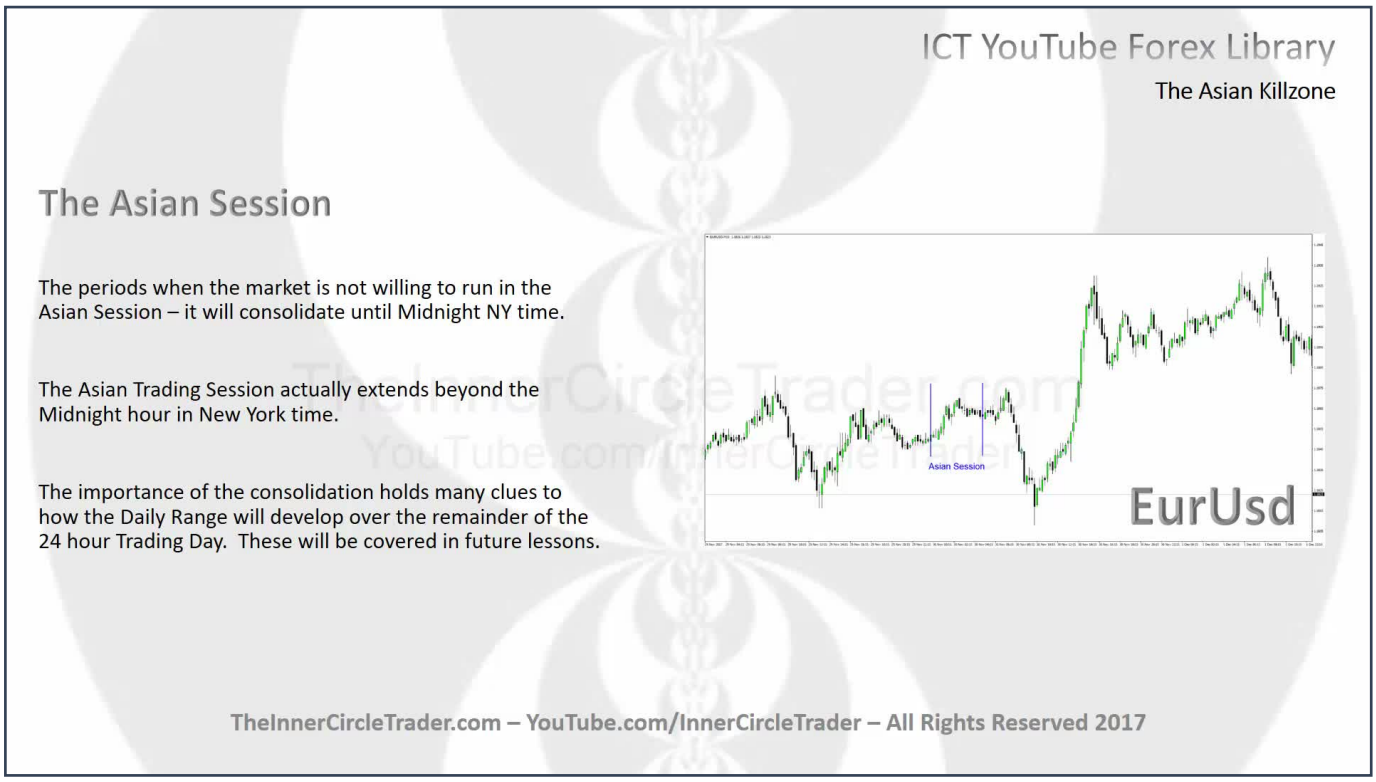
The specific details on charts are not paramount at this point; the focus is on the salient points of the Asian session. When looking for trades during this time, pairs like the Aussie, New Zealand dollar, and Japanese yen tend to do very well.

On a 15-minute time frame, hitting Ctrl+Y on Forex Ltd (a demo account used for teaching) will delineate the Asian Open with a vertical line. This time will fluctuate relative to daylight savings time, but a two-hour window is used, so it does not have a great impact.

ICT looks for a move that originates or forms immediately after the Asian Open. Examples include:

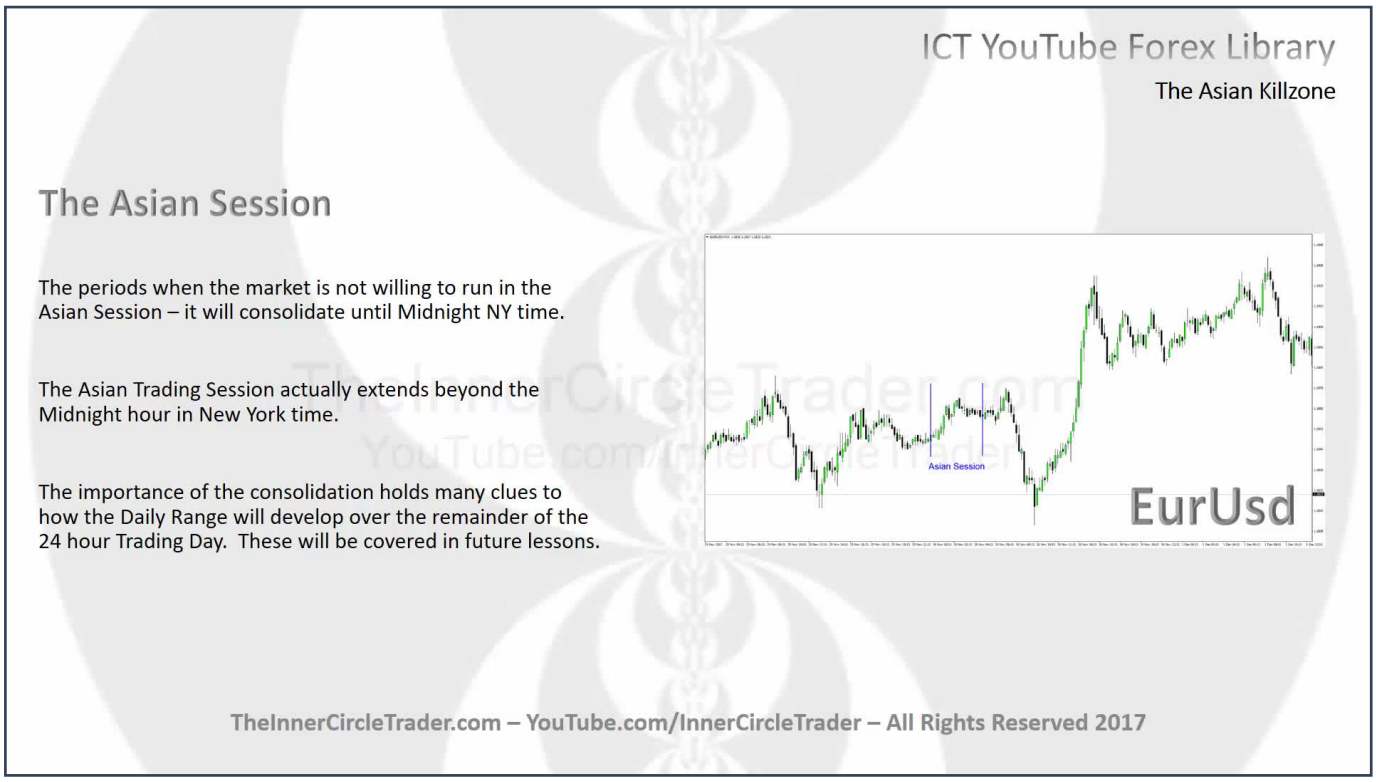
- Dollar Yen pair: An optimal trade entry is set up.

- New Zealand dollar pair: An optimal trade entry comes down with one singular candle on a 15-minute time frame, gives an optimal trade entry, runs equal highs in the previous day's range, and ultimately runs up to the previous Friday's high. This is all done during the Asian session prior to Frankfurt or London open.



During the Asian session, when the market is not willing to run (i.e., there is no optimal trade entry pattern), it will consolidate until midnight New York time. The Asian trading session actually extends beyond the midnight hour New York time, but the focus is specifically on the realm of the Asian open to midnight.

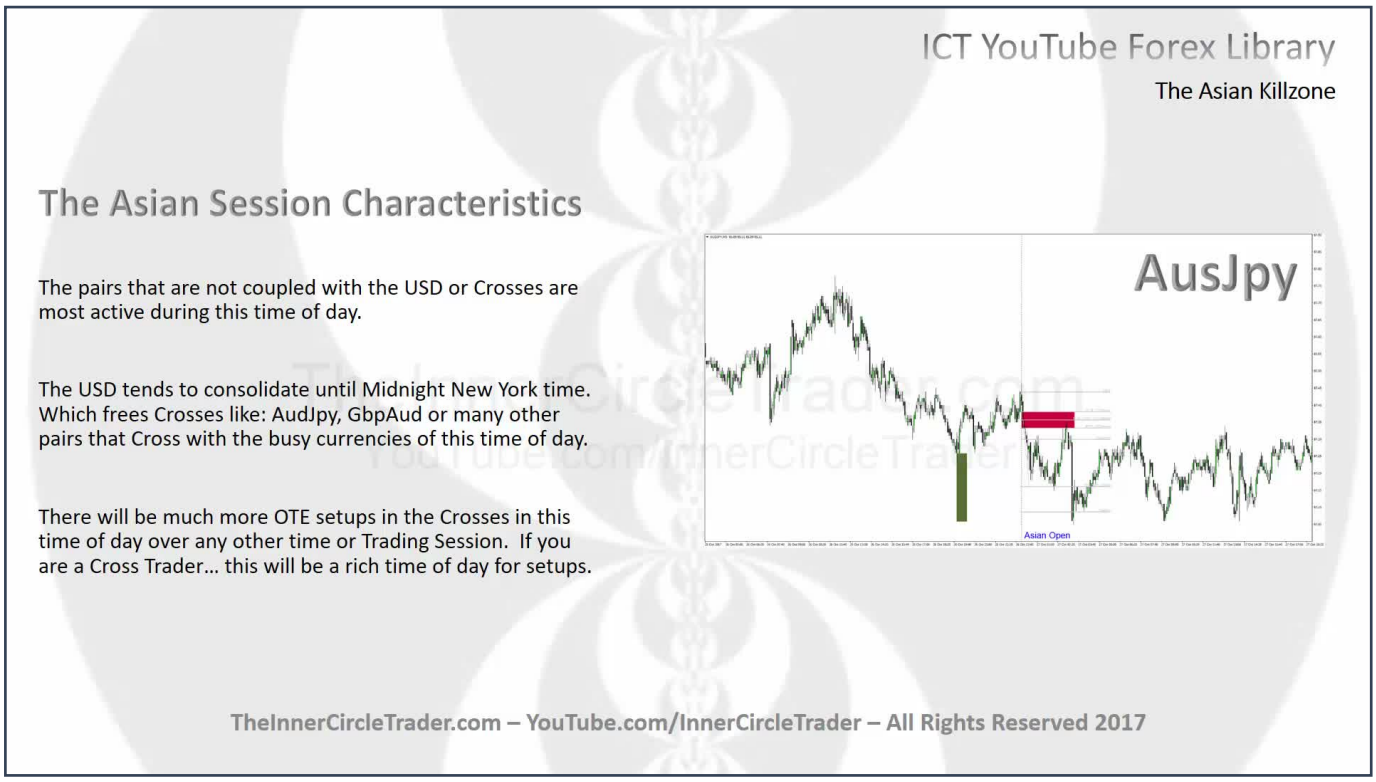
This range of several hours is deemed the Asian session for trading purposes. While the session trades past midnight New York time, setups and information gleaned from the hours prior to midnight are key. The importance of the consolidation holds many clues to how the daily range will develop over the remainder of the 24-hour trading day.



Generally, the Euro dollar is not very active during the Asian session. However, there are times when it is active and creates a significant high or low, or begins the daily range high or low in this delineation of time.

For the most part, when it is not creating significant highs or lows, the Asian session for the Euro dollar can be viewed as a consolidation. These consolidations become very meaningful and significant for future analysis.

Similarly, the Pound dollar is generally not very active during this time of day. When it is not poised to make a significant high or low or start running off an optimal trade entry during the Asian session, it is anticipated to be in a consolidation. These consolidations will be very significant in future teachings.



During the Asian session:

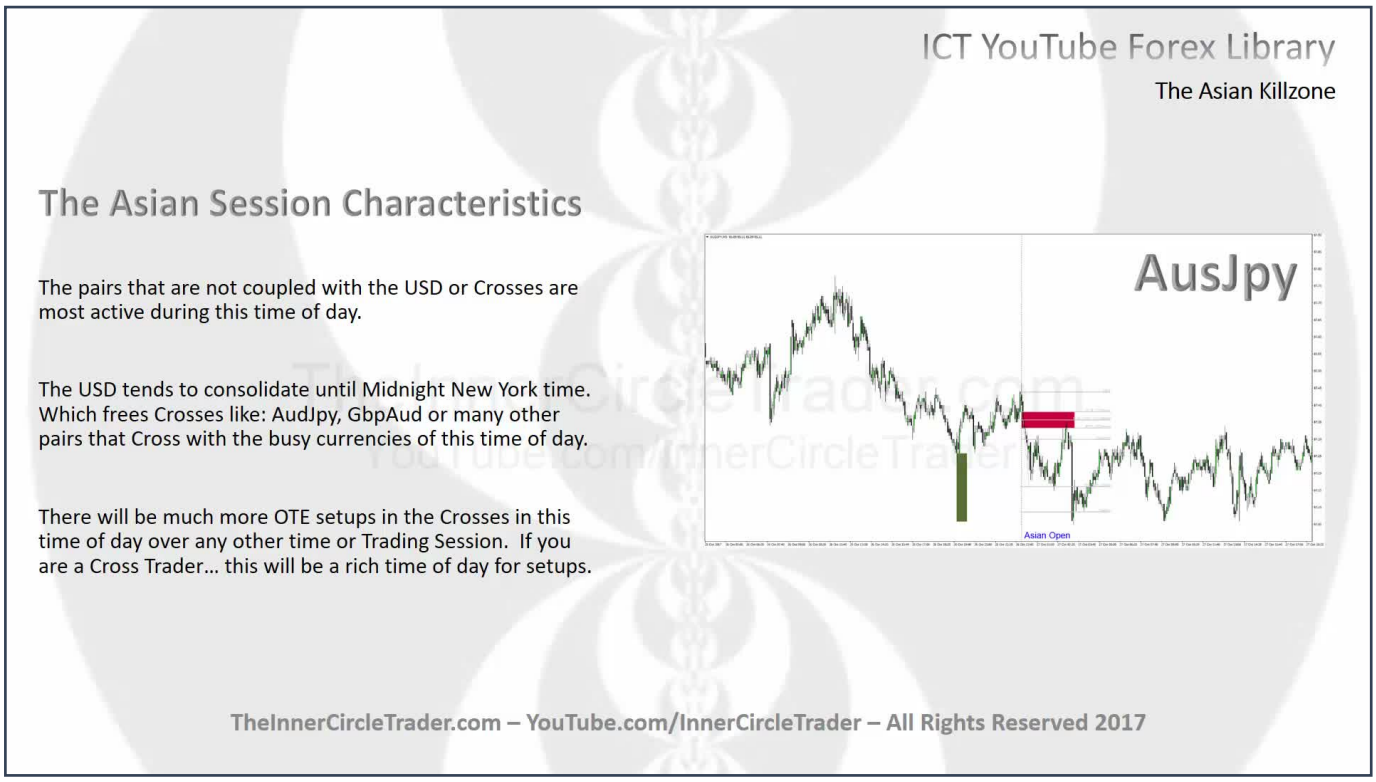
- Pairs not coupled with the dollar index, referred to as crosses, are most active.

- The US dollar tends to consolidate until midnight New York time, which frees crosses like Aussie yen, Pound Aussie, and other pairs that cross with the busy currencies of this time of day.

- Examples of busy currencies are the Aussie, New Zealand dollar, and Japanese yen.

ICT notes that he doesn't personally trade exotics like Pound Swiss and tends to avoid the Asian session due to his own preferences (family hours, etc.). However, he emphasizes not discouraging others, as it may become their niche and area of excellence.

For working individuals who cannot watch markets during London or New York sessions, trading these crosses in the evening hours (before midnight, allowing for restful sleep) can yield anywhere between 20 and 50 pips a couple of times a week.



Understanding the behavior of crosses, an example like the Aussie yen shows a beautiful instance with equal lows from the previous trading day late New York, followed by an optimal trade entry sell. It runs 20 pips below the New York session lows, down to a perfect symmetrical 20-pip sweep, and also shows a beautiful Fibonacci extension overlay.

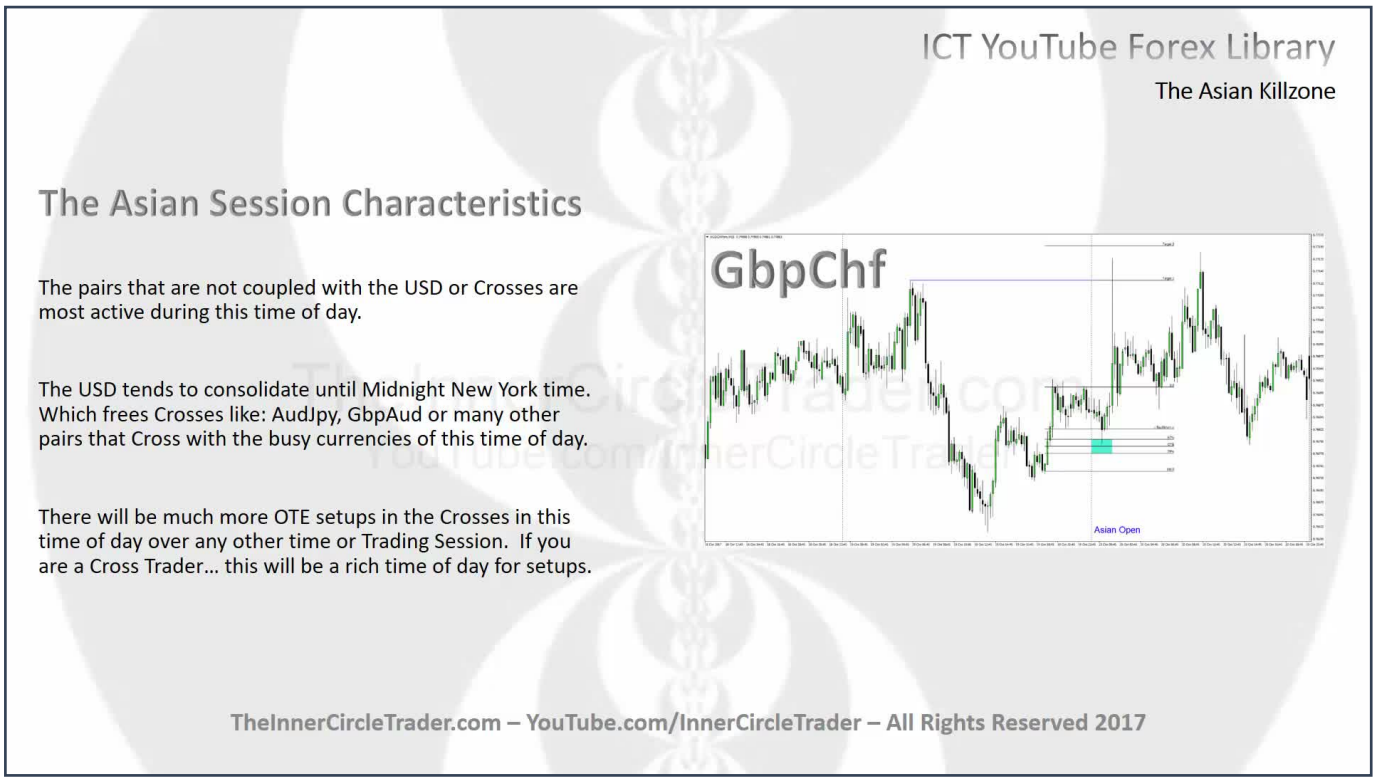
For traders with limited daytime activity, the Asian session can be supercharged by using cross pairs. While movement can still be found in pairs like the Aussie dollar, dollar yen, or New Zealand dollar, there can be a drag sometimes because of the dollar index.

Much more volatility is gained by coupling a currency with a cross member, like a Euro Aussie or a Pound Swissy. This increased volatility occurs because of the cross nature of the pair, and it is not held back or limited by the dollar index.

An example with the Pound Swissy shows a beautiful bullish optimal trade entry, trading above the previous day's high and reaching a target one on the Fibonacci. These trades form prior to London's volatility and outside the scope of New York.

During the evening hours in North America, there are often 2 to 3 hours where a setup can be identified,

many times in the form of a cross pair. This means anything not coupled to a dollar but involving a pair usually active during the Asian session (Aussie, New Zealand, Yen) will tend to move significantly because their countries' markets are open and active. Even though they are smaller markets, they do start the financial day.



The financial day starts at midnight New York time. The dollar is currently the reserve currency, making midnight New York time a key point of the day.

There is a small window of opportunity between the Asian Open and midnight that is a 'sweet spot' for crosses. During this time, the dollar is usually quiet, so there isn't much manipulation by way of the dollar. All the movement is done by using the crosses.

The strategy involves looking for a strong currency against a weak currency during this time of day and finding an optimal trade entry pattern. This can provide a wonderful opportunity to trade during a typical slow period of the 24-hour banking cycle.

Hopefully, this teaching was insightful. More information can be found at innercircletrader.com or on the Inner Circle Trader YouTube channel.